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Good morning, Pro Briefers!

In 2024, Africa attracted \$97 billion in foreign direct investment - a 75% increase from 2023.

What does that mean? More money flowed into the continent from investors than ever before in history.

The largest investment came from Abu Dhabi, which invested \$24 billion in Egypt for a mega project.

But even if you remove the largest single investment, foreign money into Africa *still grew by 12%*.

What's going on? Developed nations like China and the U.S. see Africa as an untapped resource to help them evolve.

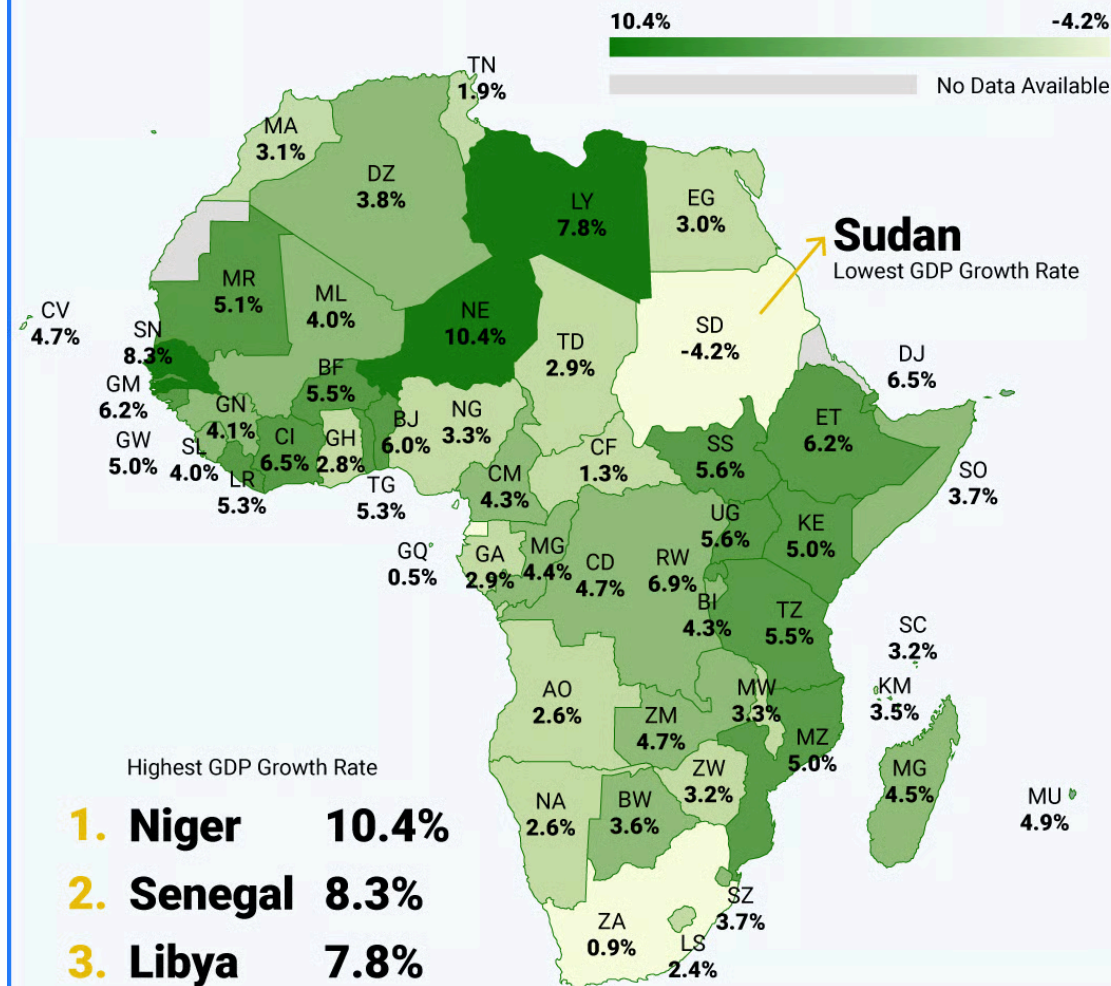
More investors are now entering the market as its potential grows.

This is where we have identified a Broad Market Shift:

Record foreign investment into African energy and natural resources is creating opportunities for companies operating on the continent to potentially profit as infrastructure spending grows.

The U.S. and Europe remain the largest investors, but Middle Eastern sovereign wealth funds are rapidly increasing their footprint on the continent.

Real GDP growth Rate In African Countries—2024



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Data via IMF

Gulf nations, countries on the Arabian Peninsula that includes Qatar, Saudi Arabia, and the United Arab Emirates (UAE) alone invested over \$179 billion into Africa between 2012 and November 2025.

- This money has primarily gone to data centers, renewable energy, and other infrastructure projects.

Why? 1.5 billion people live in Africa, almost 20% of the world's population. Over the next 75 years, its population is expected to double.

Economic conditions vary across Africa, but in many markets, new investment is helping to grow the continent slowly.

- South Africa's GDP hit \$400 billion in 2024, up from \$323 billion in 2016.
- Morocco also saw its GDP hit a record high in 2024.
- Egypt's GDP reached \$389 billion in 2024, down from its record high but up from \$248 billion in 2017.

Now, investors are hopeful that Africa is the next frontier of investment potential, as the continent will need more infrastructure as its population and economies grow.

To learn more about this shift, our analysts spoke to Florie Liser, the President and CEO of Corporate Council on Africa, in an exclusive interview.

She affirmed that this is a unique and growing opportunity for investors,

"Africa is about to enter a period like the U.S. gold rush with minerals, oil and gas as well as infrastructure development as boosters of investment growth in the next decade."

Let's break down why investors may want to keep an eye on this shift - starting with what's driving all this money into Africa.

ANALYST REPORT

Tickers we're tracking:

Geothermal: ORA

Traditional energy: KOS

Gold: B

ETFs: AFK, EZA

THE SHIFT

Global Capital's New Frontier

First, the continent has what investors are looking for: untapped natural resources, cheap land, young workers, and growing cities.

These resources have been around for years though - so what changed now?

In 2021, the African Continental Free Trade Area (AfCFTA) agreement was launched.

What's that? It's a trade agreement that connects all 54 African countries, creating one of the largest free trade zones in the world.

- This makes it easier for companies to do business across Africa - and that's attracting serious money.

"The AfCFTA will reshape logistics and supply chains for resource exports by reducing trade barriers, increasing quality of traded goods, improving infrastructure, boosting intra-African trade, which will lower trade costs and speed transit time, and shifting towards regional value chains," - Florie Liser.

Investors are now increasing their spending on projects that focus on:

Energy: Many African countries have oil, natural gas, and perfect conditions for renewable energy that haven't been fully used yet.

Data Centers: Tech companies need reliable power and land to build data centers. Africa has both at attractive prices.

Mining: The continent is one of the largest producers of gold, copper, and other valuable minerals.

Manufacturing: A growing young population means lots of workers for factories and production facilities.

The bottom line: Some global investors see Africa as one of the best places to put their money for long-term growth.

And the companies already operating there may benefit as billions of dollars flow into the continent.

GEOTHERMAL

Powering Africa's Tech Future

As the world becomes more tech-focused, African countries like Kenya, Ghana, and Senegal have become prime targets for building tech infrastructure.

This has made Africa especially attractive for data centers - the massive buildings full of computers that power the internet, AI, and cloud computing.

Why? *Cheap energy.*

Energy costs in the U.S. have been rising, alongside demand. That makes it costly for companies to build and operate them.

- Data centers use a ton of energy - a single data center uses the same amount of energy as 80,000 U.S. homes on average.

But tech giants still need them - so building them where energy is abundant makes financial sense.

Gulf nations have seen their economies and populations grow in recent years, leading them to invest in resources in Africa that may help to solve their infrastructure issues.

In addition, there are oil and natural gas reserves in Africa that haven't been fully used, plus open land containing other resources that remain untouched.

These Gulf nations are close to Africa in proximity, and the attractive price points make the continent a natural choice for investment.

Ormat Technologies (ORA) is a U.S.-based geothermal energy producer.

- Geothermal energy is power generated from heat beneath the Earth's surface.

As of 2025, the company is a major producer of this type of energy in Africa, being the second largest geothermal power producer, specifically in

Ormat revenue by segment

(Dollars in thousands)	Revenue		Increase (decrease)		% of Revenues for Period Indicated	
	Nine Months Ended September 30		Nine Months Ended September 30		Nine Months Ended September 30	
	2025	2024	2025		2025	2024
Electricity Segment:						
United States	\$ 364,021	\$ 380,424	\$ (16,403)	(4.3)%	71.8%	72.9%
Foreign	\$ 143,242	\$ 141,693	\$ 1,549	1.1	28.2	27.1
Total	\$ 507,263	\$ 522,117	\$ (14,854)	(2.8)%	100.0%	100.0%
Product Segment:						
United States	\$ 9,783	\$ 5,693	\$ 4,090	71.8%	6.4%	5.7%
Foreign	\$ 143,845	\$ 94,325	\$ 49,520	52.5	93.6	94.3
Total	\$ 153,628	\$ 100,018	\$ 53,610	53.6%	100.0%	100.0%
Energy Storage Segment:						
United States	\$ 52,616	\$ 26,778	\$ 25,838	96.5%	100.0%	100.0%
Total	\$ 52,616	\$ 26,778	\$ 25,838	96.5%	100.0%	100.0%

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Data via company's 10-Q

Why does it matter? Unlike solar or wind power, geothermal energy doesn't depend on weather conditions. It provides constant, reliable electricity - exactly what data centers need.

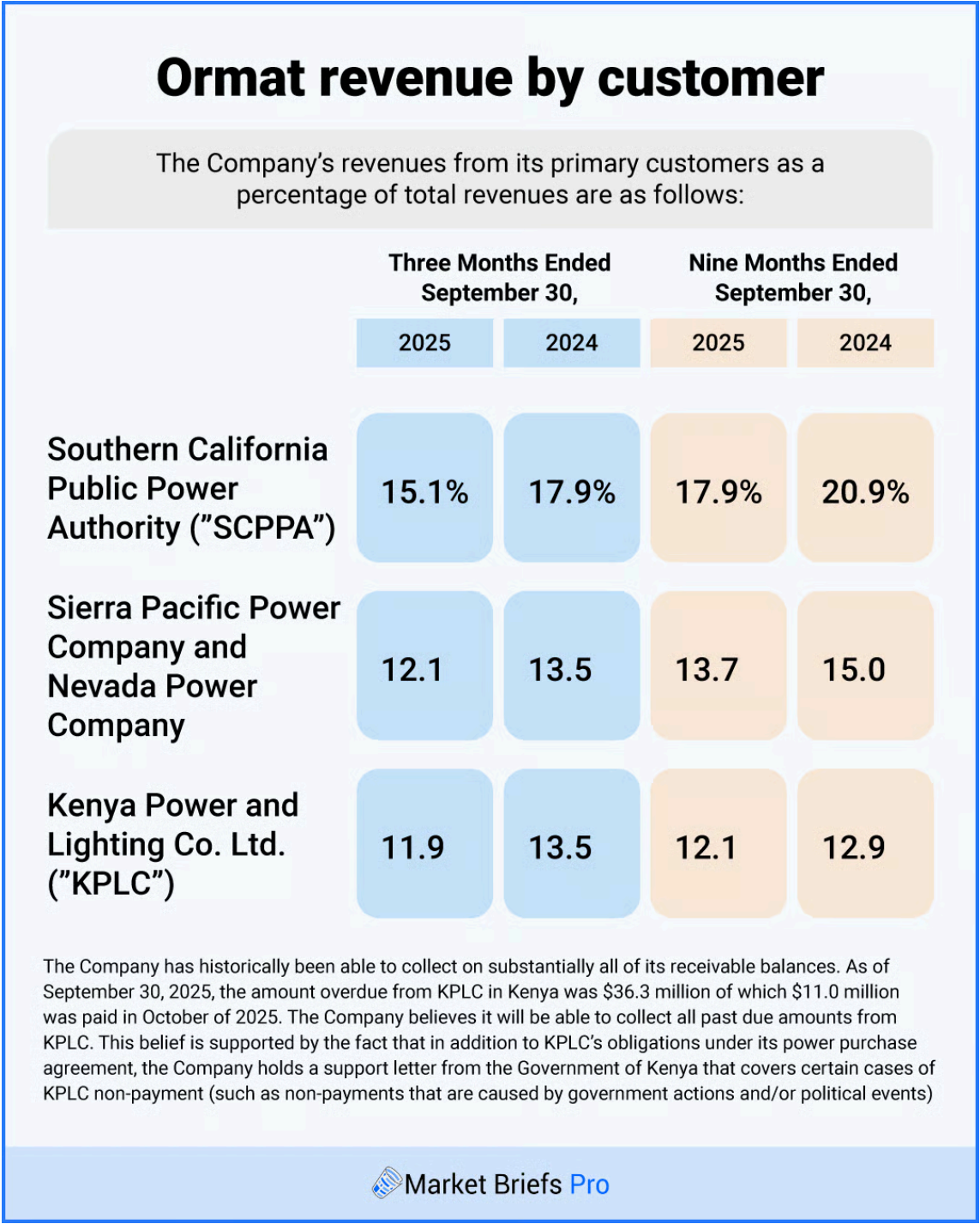
The company operates numerous power plants in Kenya's Olkaria and Menengai regions, producing clean, renewable energy 24 hours a day.

It also recently partnered with Microsoft and UAE-based company G42 to build data centers in Kenya that will run entirely off of geothermal power.

This positions Ormat as a direct beneficiary of foreign investment flowing into African tech infrastructure, with potential steady, long-term revenue growth from this deal.

Up until recently, the future was uncertain for Ormat and its operations in Kenya, as Kenya Power, the national utility company, owed it a large sum of money.

As of November 2025, Kenya Power has paid back 97% of its massive debt to Ormat. This means more money for Ormat, and improved financials for its African units.



All of this has helped drive up Ormat's share value - with shares up around 69% as of November 10th, 2025.

- Kenya represents about 12% of Ormat's total revenue as of Q3 2025.

While that may not sound like a lot, the company's latest Q3 earnings report showed its African operations are growing substantially faster than its U.S. business.

This makes it a potential opportunity for investors looking to benefit from Africa's growing energy needs and the tech infrastructure boom happening across the continent.



A Traditional Energy Play

While renewable energy is picking up speed, oil and gas energy sources are also catching investors' eyes in Africa.

That's because traditional energy still powers most of the continent.

Until renewables catch up, Africa will need more of this kind of energy as demand increases while manufacturing expands, populations grow, and logistics networks improve.

That brings us to Kosmos Energy (KOS) - an offshore drilling company focused almost entirely on Africa.

Kosmos is headquartered in Dallas, Texas, but operates oil fields almost exclusively across Ghana, Equatorial Guinea, Mauritania, and Senegal.

- The company primarily operates in West Africa, with some oil rigs in the Gulf of America.

Kosmos became known in 2007 when it discovered the Jubilee Oilfield off Ghana's coast - one of the largest oil discoveries in recent history.

Kosmos Energy Ltd. (KOS)

YTD Price

1.5100
(-55.85%)



Market Briefs Pro

Data via Yahoo! Finance

That field still produces significant amounts of oil, which has allowed Kosmos to ramp up new production across Africa throughout 2024 and 2025.

However, shares of Kosmos have been volatile in recent years.

- Shares of the company are down more than 55% year-to-date as of November 10th, 2025.

The reason: Oil prices and operational issues have hurt investor confidence.

- Brent Crude prices have fallen from \$82 to around \$65 per barrel of oil as of November 11th, 2025.

So where's the opportunity?

On November 3rd, 2025, Kosmos announced it will keep its capital expenditures under \$350 million, a 60% year-over-year decrease.



On costs, we now expect capital expenditure to be below \$350 million in 2025, more than 60% lower year-on-year. Operating costs across every business were lower quarter over quarter and we continue to work to further reduce operating costs across the portfolio, particularly on GTA into 2026. In addition, we remain on track to deliver the targeted \$25 million of overhead reduction by year-end.

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Data [via](#) company 10-Q

This is a cost-cutting move.

Instead of spending heavily on new exploration and development, Kosmos is focusing on maximizing production from existing wells and reducing

overhead.

Kosmos is trying to preserve cash in the short term and wait for conditions to improve.

- If oil prices begin rising again, Kosmos would benefit immediately because it already has infrastructure and production in place.

We also anticipate that demand for oil and gas in Western Africa is going to increase over time.



Data via CNBC

Kosmos has the infrastructure already in place to meet that demand without heavy capital spending - something that is not easy for another company to

compete with.

Note: This is the most speculative opportunity in this report.

Kosmos is cutting spending because it's struggling financially, not because business is booming.

Even still, demand for oil and gas in Africa is growing - Kosmos may be a potential opportunity to investors due to its already large established presence in the region.

GOLD

Africa's Gold Giant

Africa is known for having lots of natural resources buried beneath its surface.

These resources include precious metals like gold, platinum, and more - which are critical materials for electronics.

Gold has been mined in Africa for centuries, but modern mining operations are getting bigger and more efficient.

And that brings us back to Barrick Mining Corporation (B).

Pro Briefers may recall, our analysts identified Barrick in our Gold Mining report in August 2025, highlighting that its shares looked undervalued compared to other mining companies.

We also noted Barrick's strong presence in copper mining as an added benefit, especially given the developing global copper shortage.

Barrick Mining Corporation (B)

YTD Price

34.80
(125.10%)



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Data [via](#) Yahoo! Finance

Those points still hold true. But Barrick could also see a boost from an increase in gold mining across Africa.

Simply put - Barrick is the largest gold miner in Africa.

Its mines in Mali and the Democratic Republic of Congo are two of the largest gold mining operations in the entire world.

- About half of Barrick's total mineral production comes from African operations.
- Its mine in Mali alone produced over 800,000 ounces of gold in 2024.

Combined with other sites across the continent, Barrick has diversified its gold mining operations without relying on a single mine in the U.S.

That means the company's financial performance is heavily tied to conditions in Africa.

As African nations build better infrastructure - roads, power grids, communication networks - it becomes easier and cheaper for mining companies to operate.

Barrick's profit margins could see a boost from the improved productivity at its African mines as infrastructure gets better.

We're also seeing gold prices moving up toward record highs as concerns grow that U.S. stock markets may be overvalued - which also benefits Barrick.

Gold COMEX (Dec '25)

1 Year Price → **4,127.80**
(0.28%)



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Data [via](#) Yahoo! Finance

Gold hit \$4,200 per ounce in October 2025 - as investors were worried about a global economic downturn and rising tech valuations.

Higher gold prices = more revenue for Barrick due to increased demand.

But there's one cloud hovering above Barrick right now: a tax dispute over Mali's government.

Until the dispute is over, Barrick has lost operational control of the mine, but still owns 80% of it.

If it regains control successfully, its share prices would likely rise.

Even with this setback, Barrick's well-diversified portfolio across multiple African countries has protected it.

Shares of Barrick are up 125% year-to-date as of November 10th, 2025, and about 30% since our original report on August 30th, 2025.

The stock has shown resilience even through the Mali dispute, suggesting investors remain confident in Barrick's long-term African operations.

With record foreign investment flowing into Africa, better infrastructure being built across the continent, and gold prices near all-time highs, Barrick may be positioned to benefit from this shift for years to come.

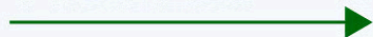
ETFs

Broad Exposure to African Growth

For investors seeking diversified exposure, the VanEck Africa Index ETF (AFK) tracks companies generating at least 50% of revenue from Africa - up 57% year-to-date.

VanEck Africa Index ETF (AFK)

YTD Price



24.55
(57.88%)



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Data [via](#) Yahoo! Finance

The iShares MSCI South Africa ETF (EZA) focuses on one of Africa's largest economies - up 58% year-to-date and previously featured in our BRICS report.

iShares MSCI South Africa ETF (EZA)

YTD Price

66.62
(58.96%)



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Data [via](#) Yahoo! Finance

RISKS

Trouble Across the Pond

Price volatility is one of the biggest risks to commodity-based businesses.

Even though it costs less to acquire commodities in Africa, if the prices of oil, gold, or energy drop significantly, it would hurt growth for Ormat,

Kosmos, and Barrick.

Geopolitical risks are also higher in Africa compared to more developed markets.

Remember: Barrick's conflict with Mali's government caused the company to remove that mine from its 2025 production forecast.

This type of scenario is not uncommon among companies operating in Africa. Governments can change regulations, impose new taxes, or even seize control of operations.

Lastly, while African energy companies play into the momentum of U.S.-based tech companies building data centers, big tech may see better returns.

This could cause shares in these companies to lag behind other tech names in the short-term.

They may still beat the S&P 500, but they probably won't match the returns of the biggest U.S. tech companies.

REVIEW

The Next Great Investment Frontier?

Money is flowing into Africa - \$97 billion in 2024 alone.

Global investors are pouring money into African energy, mining, and infrastructure, as the economies and populations there grow.

That's creating potential opportunities for companies already operating there, who will see an increase in spending over time.

"U.S. investors should position themselves to partner with African companies to add value to these minerals and increase infrastructure connectivity to take full advantage of this opportunity," - Florie Liser.

Investors will want to keep an eye on these opportunities in Africa as billions in foreign capital continue to reshape the continent's economy for the next few decades.



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